

force in the world economy. Also in the 1980s, China opened up to foreign trade, and huge sums of foreign investment poured in, leading to extraordinary growth.

Global economy

The world economy is now far more open. Internet use allows people to order goods in one part of the world and have them delivered elsewhere within a matter of days. World trade is made up of global partnerships, with multinational companies that boast huge turnovers. Across the globe, people tend to migrate to cities to find work, resulting in an increase in urbanization.

One complaint that is often aimed at globalization is that some companies exploit cheap labor and behave unethically in their bid for profit. Another is that globalization has contributed to the extraordinary accumulation of wealth by a few individuals and, thus, increased inequality. Some countries have also remained extremely poor—areas of sub-Saharan Africa, for example have fared badly and been left behind, in debt to wealthier nations.

Economic recessions have occurred throughout history, but the financial crisis of 2008–2011 was the worst—at least since

“September and October of 2008 was the worst financial crisis in global history, including the Great Depression.”

Ben Bernanke

Former head of the Federal Reserve”

the Great Depression of 1929—and maybe the worst ever. Many felt it was an avoidable disaster caused by widespread failures in government regulation and heedless risk-taking by investment bankers. Only massive monetary and fiscal stimuli prevented catastrophe. Household and business debts remained high, and there was widespread fury directed at bankers, whom many felt had survived relatively unscathed. Austerity measures provoked civil unrest. Demonstrations were held against capitalism; the Occupy Movement spread, with tens of thousands marching in New York, London, Frankfurt, Madrid, Rome, Sydney, and Hong Kong. While financiers argued over the causes of the Global Recession, the impact on the lives of ordinary people had profound, lasting consequences. ■

An era of protest

The global economic crisis that began in 2008 generated much anger at institutional symbols of power and greed, and there was an upsurge of popular protest. Demonstrations united those venting at bankers and capitalists, anti-globalization protesters, and environmentalists. There was growing anger at the level of inequality, corporate greed, and the lack of jobs.

When the G20, an international forum for

finance ministers, met in the financial heart of London in 2009, they were faced with thousands of angry protesters. Social media became critical in the organization of large gatherings and the occupation of physical spaces. As protests spread throughout Europe, they used the banner of “Occupy,” a movement set up in New York to protest against social and economic inequality. There were riots in Rome, strikes in Greece, demonstrations in Portugal, and occupations in the public squares of

Barcelona, Moscow, Madrid, New York, Chicago, and Istanbul.



People took to the streets to protest against the actions of banks and multinationals, which were seen as the trigger of the financial crisis.